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Demystifying AI Procurement in Transportation

National Webinar

Thursday, September 17, 2026

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Welcome



Brian Cronin

*Director, ITS Joint Program Office
US Department of Transportation*

Welcome



Learning Objectives

DEFINING AI CONSIDERATIONS

Analyze and address critical AI risks, validation protocols, and assurance frameworks across the core project lifecycle phases: Pre-Award, Award, and Post-Award.

CROSS-AGENCY COLLABORATION

Connect and break down silos between vital operational roles, including technical program areas, IT, legal, and finance/acquisitions.

RISK MITIGATION

Equip transportation agencies with actionable insights and proven framework updates to accurately identify and minimize AI-specific procurement risks.

REAL-WORLD PRACTICES

Evaluate mature, effective AI procurement strategies through multi-perspective case studies featuring State DOT, MPO, transit, and local agency examples.

Today's Webinar Agenda



DATE

**September 17,
2026**



TIME

**1:00 PM -
4:00 PM ET
(with break)**

Introduction and Overview

- Intention Setting
- AI Procurement Life Cycle Overview

Pre-Award Phase

- Pre-Award Phase Considerations
- Agency Panel #1

Award Phase

- Award Phase Considerations
- Agency Panel #2

Post-Award Phase

- Post-Award Phase Considerations
- Agency Lightning Talks

Closeout



Zoom Webinar Logistics

- Webinar will be recorded
- Files and resources will be shared during webinar and also available on ITS JPO AI website
- Will use interactivity throughout webinar
- Zoom chat vs. Q&A pods
 - Q&A = Submit questions for speakers and US DOT
 - Chat = See announcements from US DOT



Participant Questions & Themes

Poll Results



Your early input helped define webinar structure and approach.

Please post any questions in Q&A pod throughout webinar.

AI Procurement Life Cycle: *Setting the Stage*

Lisa Randall, U.S. DOT



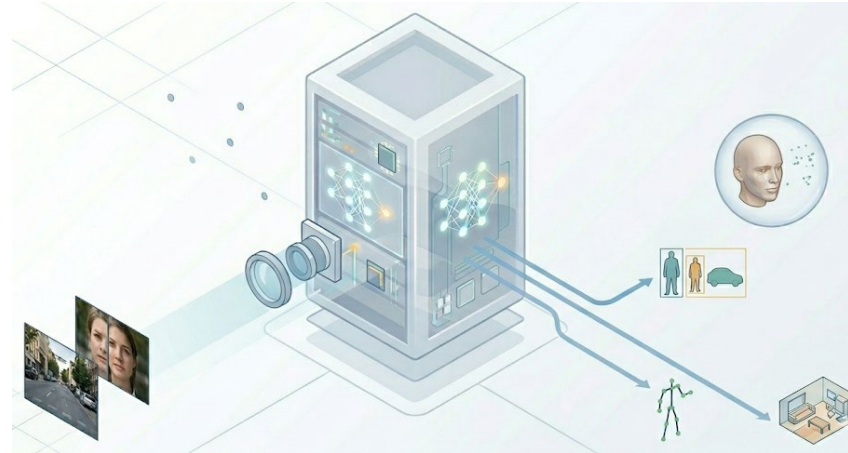
U.S. Department of Transportation
ITS Joint Program Office

Source: iStock.com/Vertigo3d/cherzoff

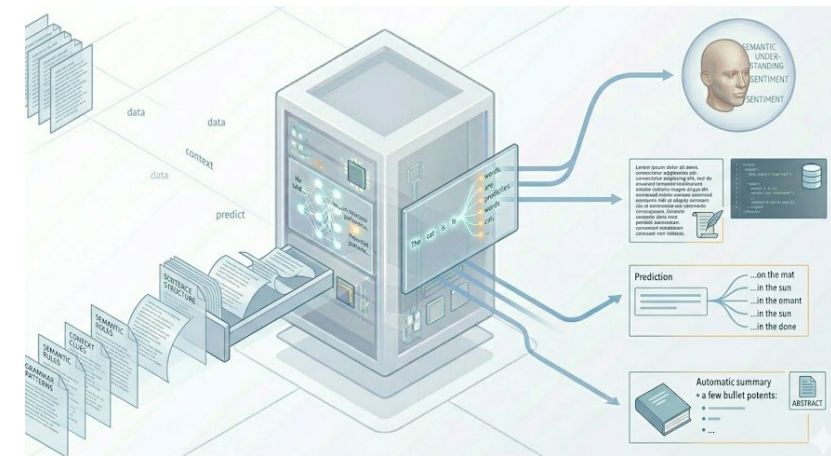
What do we mean by AI?



Machine learning (NUMBERS)



Computer vision (IMAGES)



Generative AI (LANGUAGE)

Image Source: Gemini

AI in Transportation

Opportunities

- Enhance safety
- Optimize multimodal system performance
- Monitor multimodal infrastructure conditions
- Sharpen planning and investment decision-making



AI Governance and Development

- **AI Governance** establishes structures, roles, policies and processes within an agency, including for procurement.
- **AI Specific Policies and Processes** provide explicit leadership and staff roles, timeframes and decision points across an agency for all life cycle phases.
- **AI Development Approach** will influence level and type of AI procurement actions and oversight needs

AI Development Approaches and Risks



IN-HOUSE MODELS

built by agency staff

Risks:

- Key person dependency
- Incomplete or siloed internal documentation
- Unknown training data lineage of base model
- Heavy maintenance and IT support overhead



CO-DEVELOPED OR CUSTOMIZED

partnered with vendors/academia

Risks:

- Vendor dependency
- Granting partners access to agency systems
- Integration challenges
- Unexpected usage cost spikes



PROCURED MODELS

commercial off-the-shelf (COTS)

Risks:

- Vendor lock-In
- Proprietary “black box” systems
- Limited customization
- Contract limitations

Icons source: Gemini

Why is AI Procurement Different?

Unlike **traditional** technology procurement, ***AI procurement*** may have:

- ✓ Complex Vendor Networks
- ✓ Continuous Costs & Retraining Needs
- ✓ Varied Performance Considerations
- ✓ New and Different Risks

AI Procurement Life Cycle

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Pre-Award Phase
Needs & Requirements



Award Phase
Contracting & Rules



Post-Award Phase
Management & Scaling

CROSS-CUTTING AI RISK MANAGEMENT



Continuous Risk Oversight



Dynamic Workforce Development



Performance Stability

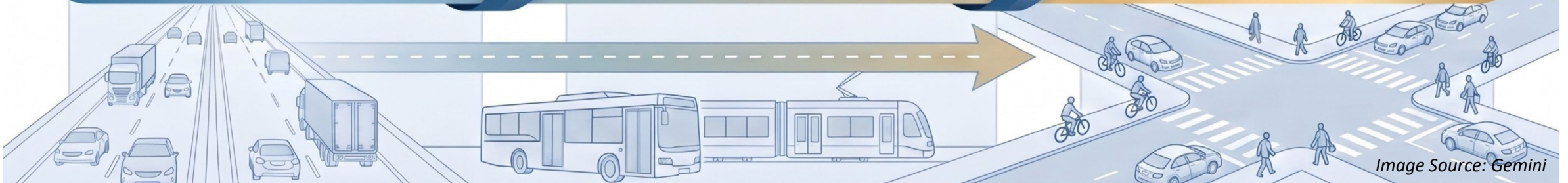


Image Source: Gemini

AI Procurement Life Cycle: *Pre-Award Phase*

Amity Wilczek, U.S. DOT Volpe Transportation Center



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AI Procurement: Pre-Award Phase



Pre-Award Phase
Needs & Requirements



Award Phase
Contracting & Rules



Post-Award Phase
Management & Scaling

CROSS-CUTTING AI RISK MANAGEMENT



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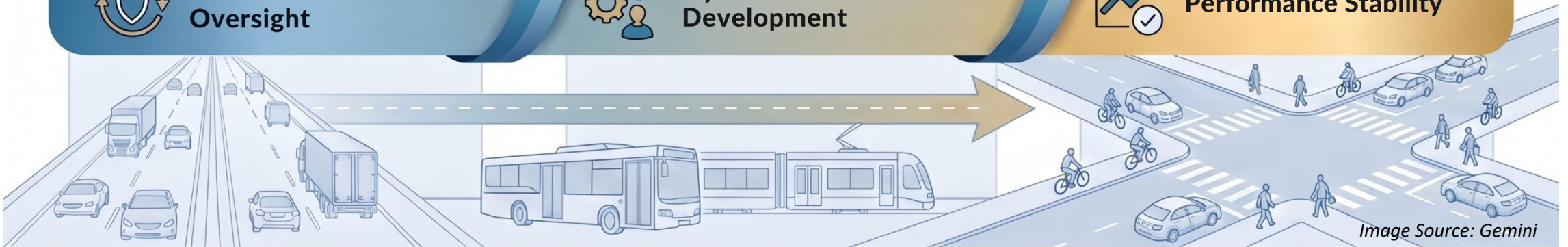


Image Source: Gemini



Pre-Award Phase: Key Activities

- Analyze **needs, risks, and scope**
- Conduct **market analysis**
- Define **requirements** and **specifications** (*data, software, workflow integration, workforce training, performance criteria, etc.*)
- Establish **evaluation** planning processes and **criteria**
- Secure **leadership** and **cross-program** reviews and concurrence for planned procurement
- Implement **solicitation**

Pre-Award Phase: AI Considerations

Pre-Award Actions	Sample AI Considerations & Questions
Project Identification & Needs	What is the transportation <i>challenge</i> ?
	<i>Why</i> is <i>AI</i> being considered?
	How are AI projects identified, <i>selected and prioritized</i> ?
Risk Profile	What are <i>possible risks</i> for the AI project?
	How will identified <i>risks be mitigated</i> across life-cycle phases?
AI Development Approach (<i>Buy, Build, Adapt</i>)	How will the AI project be <i>developed</i> and who makes this decision?
	<i>Where and when</i> will different agency staff and program areas be involved in the AI project?



Pre-Award Phase: AI Considerations

Pre-Award Actions	Sample AI Considerations & Questions
Requirements & Specifications	Which <i>types of data sources</i> will be used and how will <i>data privacy, access, continuity</i> be addressed in the RFP?
	How can an agency write an RFP so it is <i>not prescriptive of the technology</i> but instead has rigorous and clear performance requirements?
	How can an agency write “ <i>performance-based requirements appropriate to AI</i> ” instead of just technical specifications?
Evaluation Planning	How are <i>evaluation criteria</i> established for AI projects with vendor involvement and <i>how rigorous</i> are these?
	Which parts of the agency will be included in <i>evaluation planning actions</i> ?



Pre-Award Phase: Panel Members

Facilitator



Amity Wilczek
*USDOT Volpe
Transportation
Center*

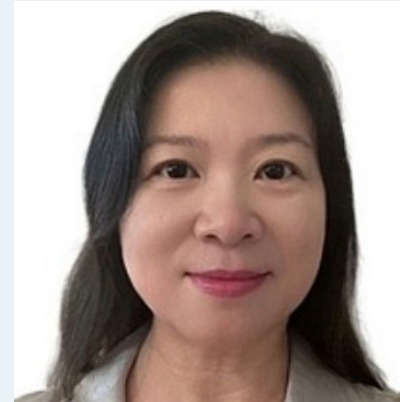
Agency Panelists



Steven Younkin
*City of Greeley, CO
Chief Engineer*



Aaron Cushman
*Nashville DOT
IT/ITS Division Manager*



Jinghua Xu
*Southern California
Association of
Governments (SCAG)
Department Manager
of Modeling*



Rose Vath
*Vermont Agency
of Transportation
AI & Business
Intelligence
Manager*

Pre-Award Phase: Discussion



AI Procurement Life Cycle: *Award Phase*

Karl Wunderlich, ITS JPO Consultant



U.S. Department of Transportation
ITS Joint Program Office

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Award Phase: AI Considerations



Pre-Award Phase
Needs & Requirements



Award Phase
Contracting & Rules



Post-Award Phase
Management & Scaling

CROSS-CUTTING AI RISK MANAGEMENT



Continuous Risk Oversight



Dynamic Workforce Development



Performance Stability

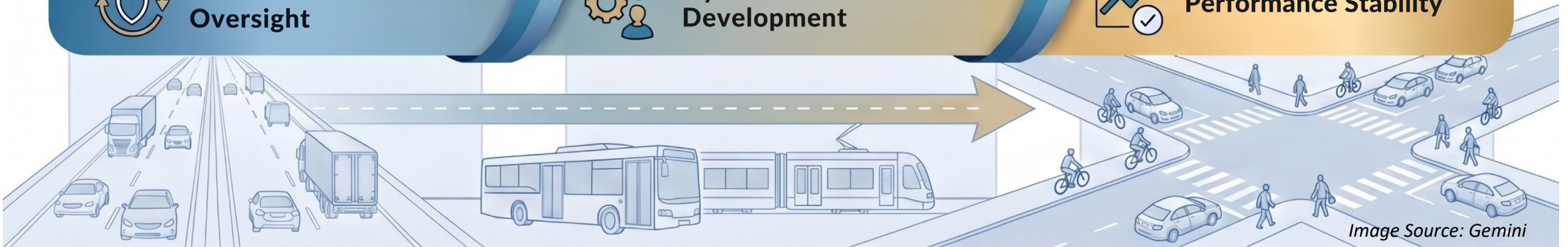


Image Source: Gemini



Award Phase: Key Activities

- **Evaluate** proposals (with a multi-disciplinary scoring panel)
- Develop **recommendations** and seek leadership **approval** of full project cost and with risk safeguards
- Issue notice of **intent to award** and **document** evaluation process
- **Finalize contract** specifications with clauses for data ownership, model retraining and accuracy benchmarks
- Issue **notice to proceed** and hold **kick-off** meeting



Award Phase: AI Considerations

Award Actions	Sample AI Considerations & Questions
Proposal Evaluation	Confirm how the AI procurement will be <i>evaluated</i> (lowest cost, best value, etc).
	Did we score proposals on <i>full life-cycle costs</i> (e.g., cloud compute, data feeds, and model retraining)?
	Does the proposal clearly explain how considerations like <i>data privacy, risks and system trustworthiness</i> be managed?
Recommendation Development & Approval	How and when will leadership be briefed on full life-cycle funding needs and possible <i>risks</i> around <i>data, public perception</i> and potential system errors?
	Can we explain how <i>human staff will stay in the loop</i> to oversee automated decisions?

Award Phase: AI Considerations

Award Actions	Sample AI Considerations & Questions
Intent to Award	Are our technical evaluation scores clearly <i>documented</i> and <i>defensible</i> ?
	Is the agency prepared to answer questions about how <i>public data</i> will be <i>used</i> ?
Final Contract Language	Does contract specify <i>ownership</i> of training <i>data, custom model updates</i> , and <i>system outputs</i> if the agency later switches vendors?
	Does contract require <i>human review checkpoints</i> and clear <i>accuracy</i> and <i>performance targets</i> ?
	Are <i>vendor responsibilities</i> for fixing model drift, system bugs, and unexpected performance drops <i>explicitly defined</i> ?



Award Phase: AI Considerations

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Award Actions	Sample AI Considerations & Questions
Notice to Proceed & Kick-Off Meeting	Are internal IT, legal, data, and technical program teams aligned and ready to <i>manage vendor performance</i> from day one?
	How will the agency establish <i>safe test environments and baseline datasets</i> before connecting the AI system to live agency systems?
	Is there a clear <i>schedule</i> for <i>testing and validation</i> before full deployment?
	When and how will the <i>vendor</i> offer <i>training</i> to agency workforce on <i>AI systems, data and outputs</i> ?



Award Phase: Panel Members

Facilitator

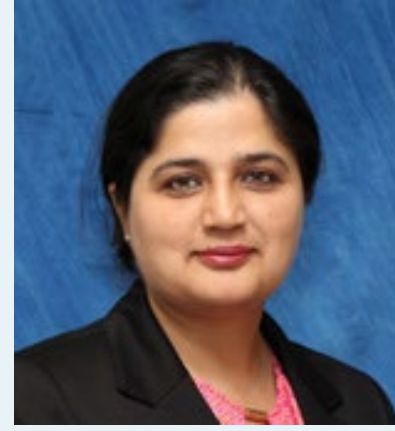


Karl Wunderlich
ITS JPO Consultant

Agency Panelists



**Ploisongsaeng (Ploi)
Intaratip**
*Missouri DOT
Assistant Traffic
Liaison Engineer*



Namita Uppal
*Miami-Dade County
Strategic Procurement
Dept, Director and
Chief Procurement
Officer*



Alicia Winkelblech
*City of Arlington, TX
Director of
Transportation*

Award Phase: Discussion



BREAK



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Image Source: Getty/Aerial Perspective Images

AI Procurement Life Cycle: ***Post-Award Phase***

Haley Townsend, ITS JPO Consultant



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Post-Award Phase: AI Considerations



Pre-Award Phase
Needs & Requirements



Award Phase
Contracting & Rules



Post-Award Phase
Management & Scaling

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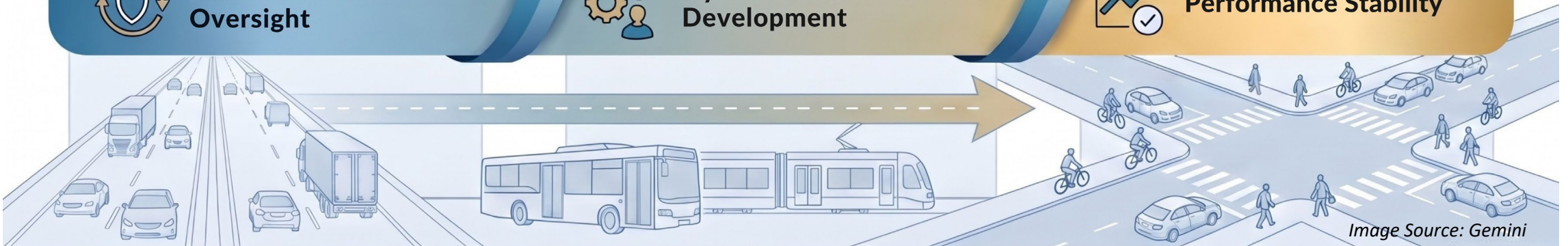


Image Source: Gemini



Post-Award Phase: Key Activities

- Monitor ***vendor and model performance*** with human-in-the loop decision checkpoints.
- Verify and accept ***deliverables*** based on ***accuracy and performance*** benchmarks
- Manage payments and plan for ***usage-based budgets***
- Process ***contract modifications*** for ***model retraining*** and updates (*when necessary*)
- Close-out contract or exit project and ***secure data*** assets

Post-Award Phase: AI Considerations

Post- Award Actions	Sample AI Considerations & Questions
Vendor & Model Performance	How and when is the agency monitoring the AI system's accuracy and any degradation ("drifting") as conditions change?
	Are agency staff reviewing high-consequence AI outputs (e.g., safety warnings, route changes, etc) before taking action?
Deliverable Verification & Acceptance	Where available, how are staff using agency data sources rather than vendor-provided sample sets to validate AI system outputs ?
	Has the AI model met defined accuracy benchmarks before agency staff sign-off on interim payments?

Post-Award Phase: AI Considerations

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Post- Award Actions	Sample AI Considerations & Questions
Contract Payments & Modifications	Are <i>recurring operational and usage costs</i> for cloud compute, live data feeds, and API calls staying within <i>forecasted limits</i> ?
	Is <i>routine model retraining covered</i> under standard maintenance contract clauses, or does it require a formal contract modification?
Close-Out and Exit Strategy	What preparations will the agency use for <i>“turning off” the AI system</i> if it becomes unsafe or if better technology comes along?
	What steps are in place for the agency to <i>“hand-off”</i> and/or <i>integrate the AI model</i> into agency workstreams, to an internal development team or to other vendors?

Agency Speakers for Lightning Talks

Facilitator



Haley Townsend
ITS JPO
Consultant

Agency Speakers



John Hibbard
Georgia DOT
Division Director of
Operations



Skye Guo
District DOT
ITS Specialist



Christina Karanikolas
RTC of Southern
Nevada
Manager of Engineering



Bhaskar Rudrakshala
Caltrans
Division Chief of
Application
Development & Support

AI Life Cycle: Capstone Considerations

How can transportation agencies...

- facilitate continuous cross-program learning as AI solutions are implemented?
- take what is learned from one AI procurement and apply it to future procurements?
- integrate AI procurement lessons learned into AI governance?
- better manage life-cycle risks across all project phases?

Post-Award Phase: Discussion



AI Procurement Webinar: ***Close Out***

Lisa Randall, U.S. DOT



U.S. Department of Transportation
ITS Joint Program Office

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Key Take-Aways

- **Assess and/or Establish Enterprise AI Governance for Procurement:** Set agency-wide structures, roles, processes and decision checkpoints for AI procurement
- **Define Core Transportation Challenge First:** Assess actual transportation needs before deciding if AI is the right solution.
- **Align Internal Roles and Decision Checkpoints:** Engage legal, IT, acquisitions, and program areas early to coordinate from pre-award through post-award.

Key Take-Aways

- **Require Human-in-the-Loop and Oversight:** Embed human review checkpoints into contracts and daily workflows to verify AI system outputs and ensure public accountability.
- **Invest in Workforce AI Oversight Skills:** Train agency staff at every phase so the agency can effectively manage, audit, and sustain AI tools and systems throughout an AI project's life cycle.
- **Participate in Peer Discussions and Exchanges:** Share lessons learned, sample contract language, and use cases with other agencies to avoid reinventing the wheel.

Helpful Resources

Intelligent Transportation Systems
Joint Program Office

About ▾News & Info ▾Research Areas ▾Resources/Technical Assistance ▾

Artificial Intelligence (AI)

HomeOverview ▾Focus Areas ▾

Research Areas / Artificial Intelligence

Transforming Transportation with AI

The Intelligent Transportation Systems Joint Program Office (ITS JPO) Artificial Intelligence Program is driving innovation in surface transportation through responsible AI development and adoption. The ITS JPO works collaboratively with State, local, and regional partners as well as Tribal Nations to develop, test, and deploy AI solutions that make our transportation systems safer, more efficient, productive, and resilient. By engaging private industry, original equipment manufacturers (OEMs), national associations, and leading academic institutions, we bridge the gap between cutting-edge research and real-world deployment.

From real-world pilots to practical guidance and tools, we're helping transportation agencies harness AI's transformative potential across varied transportation modes and use cases.

Focus Areas



Get AI-Ready

Datasets, frameworks, and best practices to support your AI development.



Put AI into Practice

Funding opportunities, initiatives, and project insights to support real-world AI implementation.



Learn & Connect

Case studies, peer exchanges, and learning resources to support shared AI knowledge.

Webinar Evaluation & Feedback

- We value your **feedback**.
- Your input will help us **improve**.
 - *Future AI webinars and
USDOT AI knowledge transfer strategies*
- Link to **evaluation form in chat**.



We Want to Help You!

Lisa Randall

AI Program Manager

U.S. DOT ITS JPO

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Matt Cuddy

JPO AI Program Team Manager

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How We Support You



Development Resources



Field Testing & Pilots



Knowledge Sharing



AI Risk Management



Webinars & Outreach

Visit the ITS JPO AI Program Website:
www.its.dot.gov/research-areas/Artificial-Intelligence/

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